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Test Series: May, 2020

MOCK TEST PAPER 1

INTERMEDIATE (NEW): GROUP – II

PAPER – 7: ENTERPRISE INFORMATION SYSTEMS AND STRATEGIC MANAGEMENT

SECTION – A: ENTERPRISE INFORMATION SYSTEMS

Time Allowed – 1½ Hours **Maximum Marks: 50 Marks**

Division A -Multiple Choice Questions

Total Marks: 15 Marks

Question Nos. 1 to 5 carries 2 marks each. Out of which Question no 1-4 belong to case scenario.

XYZ is the well- established food chain with five branches at different locations within Delhi. The company wants to come out with an IPO (Initial Public Offering). The Management asked the financial Manager to present a report pertaining the benefits, risks and control objective and above all if there is any change required in the working of food chain.

To maintain the list of its regular customers, the data management teams of XYZ implements certain changes in database design of their billing software. Now the billing system is centralized and it is mandatory to add customers' phone number and name on each bill. XYZ has decided to buy software which will be an online assistant to customers and will provide them complete detail about the IPO and solve their queries. XYZ wants a safe and secure working environment for their customers as well as their employees therefore, takes the decision to implement certain key provision of IT Act to avoid any unlawful activity. XYZ follows Customer Relationship Management practices hence; it is famous to take care of its customers and provides them good services.

1. In purview of case scenario, XYZ follows CRM practices to manage its relationship with its customers. Which of the following is not the key benefit of CRM module?

   (a) Helps to take action needed to measure quality.

   (b) Gives an idea to company about customer wants, needs and patterns of purchase.

   (c) Sharing of customer data between different departments will enable them to work as a team.

   (d) Enables the company to identify the correct time to market its product to customers.

2. The financial manager of XYZ prepared a document wherein he needs to define the business process of the food chain in diagrammatic form. Which of the following symbol will he use to present Pre-defined process?

   (a) 

   (b) 

   (c) 

   (d) 

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3. The database management team of XYZ food chain is working to implement changes in database design as per the requirement of management. Which of the following person will carry out routine data maintenance and monitor the task?

   (a) Database Administrator

   (b) Database Architect

   (c) Database Analyst

   (d) Database Advisor

4. The management of food chain has shown its concern over the condition in case any of its employees dishonestly make use of electronic signature of the customer. Identify the section from IT Act, 2000that will help XYZ to deal with this situation.

   (a) Section 43

   (b) Section 66-C

   (c) Section 66-E

   (d) Section 66-B

5. Mr. Anuj has started his own e-Commerce based start up with an objective to bring together large number of individual buyer. He collects the information about goods/service providers, makes the providers it partners, and sells their services under the name of his own start up. Under which category of e-market his start up comes?

   (a) Virtual Community

   (b) Buyer Aggregator

   (c) e-Shops

   (d) e-Auctions

Question Nos. 6 to 10 carries 1 mark each.

6. Mr. Raju wants to purchase a new laptop of BBCN Company through online mode. Hence, he is checking all the products available on BBCN website. From the following layers of e-commerce architecture, identify the layer on which he is working.

   (a) Application Layer

   (b) Database Layer

   (c) Client /user Interface

   (d) Communication Layer

7. Ms. Sneha purchased a new dress for her birthday party through online mode from fashionnpoint.com. She used her debit card / pin number to make the payment for her dress. At the back end, which of the following bank server will be responsible for storing the username and password for transaction?

   (a) Internet Banking Channel Server

   (b) Internet Banking Application Server

   (c) Web Server

   (d) Database Server

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8. Mr. Rajesh is the Director of a financial company which is listed in SEBI. His job responsibilities include maintenance of accounting records and safeguarding of assets of company. Which of following section of Company Act is referring to this part of his duty?

   (a) Section 143

   (b) Section 134

   (c) Section 66

   (d) Section 65

9. Mr. Rajiv is an accountant of a Pvt. Ltd. Company, who on behalf of the company takes care of all the cash deposits and withdrawals in and from bank respectively. He is making a voucher for transfer of fund from company's one bank account to company's other bank account. Which of the following voucher is Mr. Rajiv preparing?

   (a) Contra

   (b) Payment

   (c) Receipt

   (d) Journal

10. Which of the following does not belong to activities executed by Operating System?

   (a) It allows more than one user to use the system.

   (b) It uses minimal memory.

   (c) It provides logical security to identify and authenticate various users.

   (d) It keeps the track of data stored.

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Division B-Descriptive Questions

Total Marks: 35 Marks

Question No. 1 is compulsory.

Attempt any three questions out of remaining four questions.

1. (a) In Information Systems, identify the control that is used to correct errors, omissions or incidents once they have been detected. Enlist its major characteristics as well. **(3 Marks)**

   (b) Credit Risk is one of many risks associated with Core Banking System. Define it. **(2 Marks)**

2. (a) XYZ is the publication house which is under the process of implementing Enterprise Resource Planning (ERP) so that a single database can be utilized and may contain all data for various software modules. Explain in brief the software modules included in ERP. **(6 Marks)**

   (b) ABC Company is a supplier of kids' garment successfully running its business offline as well as online. Now, the company decides to launch its mobile app also so that its retail customers would be able to purchase or place orders anytime and anywhere. Describe the method through which ABC Company will run its e-Commerce architecture on Mobile app. **(4 Marks)**

3. (a) Nowadays, many industries like hospitality, healthcare and public service agencies deal with massively large data sets that conventional database tools can't process. Big data has significant benefits due to which it has provided a new direction to these businesses. Elaborate these benefits. **(6 Marks)**

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(b) In a Financial and Accounting System, there is a document that is used as documentary evidence of any transaction. List different types of documentary evidences used in inventory module of Accounting System. **(4 Marks)**

4. (a) Mr. X is the Chief Manager of XYZ company; a well-known brand in the field of footwear. He suggested the Board members of company to adopt the model of e- Business to meet out the demand of today's competitive world. The Board members asked him to present a report pertaining to pros and cons of the same in next board meeting. Though he is well aware about the benefits of the same, help Mr. X to jot down all the risks associated with e-Business Environment. **(6 Marks)**

(b) Elaborate the control activities performed by any business organization to mitigate the risks related to financial statement audit. **(4 Marks)**

5. (a) Mr. Rajesh is regional manager of a company who advised his management for Business Process Automation to sustain in market. He has prepared list of benefits of Automating Business Process. Elaborate the content of list that Mr. Rajesh may have prepared. **(6 Marks)**

(b) Mr. X has opened a new account with CFG bank. The bank provides Internet banking, Mobile banking and Phone banking. Mr. X could not understand usage of these banking facilities. Elaborate these banking facilities to Mr. X. **(4 Marks)**

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SECTION – B: STRATEGIC MANAGEMENT

Time Allowed – 1½ Hours **Maximum Marks – 50**

*Question **1** and **2** are compulsory.*

*Attempt any **three** questions out of remaining **four** questions.*

1. (A) *Trepsico Trito Company* is one of the most famous brands in food and beverages industry in the world. It has seventeen food and beverage brands worth more than 100 crores. *Trepsico Trito,* Crisppy Chips (subsidiary), *Tasty Chips* (acquisition), *Tangy* (joint venture), *Twisters* (acquisition), and *Threshold drink* are just some of the household names that *Trepsico Trito Company* manages.

Trepsico Trito's mission is to provide consumers around the world with delicious, affordable, convenient and complementary foods and beverages from wholesome breakfasts to healthy and fun daytime snacks and beverages to evening treats. Convenient F&B defines *Trepsico Trito's* business. *Trepsico Trito's* vision is articulated as achieving business and financial success while leaving a positive imprint on society – delivering what it calls Performance with Purpose. For example, *Trepsico Trito* India's Agri program presently benefits over 24,000 farmers across 14 states through various Agri and sourcing initiatives. All the potato used in Crisppy Chips and *Tasty Chips* is grown in India and sourced from Indian farmers. Through its 360-degree farmer connect initiatives for potato cultivation, *Trepsico Trito* provides training and seed support, advanced plant protection programs, and assured buy-back with reasonable returns. Besides backward integration with farmers it has invested in cold storages along its supply chain. Since 2009 it has been Water Positive by conserving, utilising and managing this important resource in a sustainable manner.

The company is geographically diverse too. *Trepsico Trito* operates all around the world- only 50 per cent of its sales come from the United States and Canada.

Given this breadth of business and market scope, *Trepsico Trito* faces a variety of strategic scenarios: capitalizing on scale advantage in its core brand where it is a global leader; building businesses in fast-developing and unpredictable markets, categories, and products more so on account of shifts in consumer behaviour such as a greater focus on healthy living away from its "star" carbonated beverages and "cash cow" fried snacks businesses; the need for greater experimentation and innovation, for example in new flavours of chips to create and capitalize on newer sources of growth.

It is not inconceivable that *Trepsico Trito's* different businesses at different times go through different stages of strategy thus necessitating a portfolio approach to strategy formulation with reference to market /business growth and market share such as BCG Matrix. While it competes fiercely with *Chilled drink* in different countries, it proactively fosters strategic partnerships with quick service restaurants and multiplex players.

Based on the above Case Scenario, answer the Multiple Choice Questions which are as follows:

(1) Match the columns in respect of the following elements of the strategic intent and their descriptions:

Column A	Column B
(i) Vision	(a) Product-Market Configuration
(ii) Business Model	(b) The way business is conducted
(iii) Business Definition	(c) Aspiration for a desired future
(iv) Mission	(d) The scope of Business

(a) (i)-(a); (ii)-(b); (iii)-(c); (iv)-(d)

(b) (i)-(b); (ii)-(c); (iii)-(d); (iv)-(a)

(c) (i)-(c); (ii)-(b); (iii)-(d); (iv)-(a)

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(d) (i)-(d); (ii)-(c): (iii)-(b); (iv)-(a) **(2 Marks)**

(2) State the two dimensions implied by portfolio approach to strategy formulation in Trepsico Trito's experiences are:

(a) Vision and Mission

(b) Food Business and Beverages Business

(c) Market Growth and Relative Market Share

(d) Performance and Purpose **(1 Mark)**

(3) The business/ product portfolio classification implied by BCG Matrix comprises which of the following combinations?

(a) Growth; Stability; Retrenchment; Turnaround

(b) Weakness-Threat; Weakness-Opportunity; Strength-Opportunity; Strength-Threat

(c) Cash-Cows; Stars; Question Marks; Dogs

(d) Market Penetration; Product Development; Market Development; Diversification

(1 Mark)

(4) Which of the following may be cited as instances of collaborative approach/ strategic alliance Trepsico Trito follows in its strategy?

(a) Diversification from carbonated drinks to fruit juices

(b) Diversification from fried to baked chips

(c) Partnerships with quick service restaurants and multiplexes

(d) Diversification into breakfast cereals **(1 Mark)**

(5) Which of the following is the most correct corporate level strategic alternative by the overall strategic direction evident from Trepsico Trito's corporate strategy?

(a) Growth/Expansion strategy

(b) Stability strategy

(c) Retrenchment strategy

(d) Turnaround strategy **(1 Mark)**

(B) Human resource management has been accepted as a strategic partner in the formulation of organization's strategies and in the implementation of such strategies through human resource planning, employment, training, appraisal and reward systems. Factors that influence on employee competence are:

i. Recruitment and selection

ii. Training

iii. Appraisal of performance

iv. Compensation

(a) i, ii & iii

(b) ii, iii & iv

(c) i, ii, iii & iv

(d) iii & iv **(2 Marks)**

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(C) Perscopter, a manufacturer of private helicopter offers unique features that fullfill the demands of a narrow market. It competes in market based on its uniqueness and custom-oriented private helicopters. Perscopter provides limited number of high-end helicopters with ultimate features. Which business strategy is being followed by Perscopter?

(a) Differentiation

(b) Focused differentiation

(c) Cost leadership

(d) Focused cost leadership **(2 Marks)**

(D) Which of the following is more radical organisation design and is also called as non-structure which virtually eliminates in-house business functions and outsources many of them?

(a) Network structure

(b) Strategic business unit

(c) Hourglass structure

(d) Simple structure **(1 Mark)**

(E) The process of creating, maintaining, and enhancing strong, value-laden relationships with customers and other stakeholder is:

(a) Social marketing

(b) Augmented marketing

(c) Direct marketing

(d) Relationship marketing **(1 Mark)**

(F) Gennex industries are analyzing the technological forces for the firm which may provide it opportunities and threats for which of the following stage/s of strategic management process?

(a) Strategy formulation

(b) Strategy implementation

(c) Strategy evaluation

(d) All of the above **(1 Mark)**

(G) Strategic management allows an organization to be more:

(a) Authoritative

(b) Participative

(c) Commanding

(d) Proactive **(1 Mark)**

(H) Which of the following is correct?

(a) Strategy is always pragmatic and not flexible

(b) Strategy is not always perfect, flawless and optimal

(c) Strategy is always perfect, flawless and optimal

(d) Strategy is always flexible but not pragmatic **(1 Mark)**

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2. Dr. Raman has been running a nursing home for about twenty two years now, and has gained enormous name for his benevolence in Balram district of Chhattisgarh. Recently, his daughter, Dr. Radhika completed her medicine degree from the United States of America and returned to her hometown to be a part of her father's practice. She has been given the baton to promote modern medicine and retain the local skilled youth in their practice. However, their nursing home's skilled youth has been more inclined to E-Commerce employment opportunities. Dr. Radhika has taken it as a challenge to imbibe the very essence of service in them, by being employed as nurses and caretakers of the ill. This shall be very crucial in growing the practice as desired. Which of the following phases of Kurt Lewin's Model of Change will be most challenging for Dr. Radhika to strategically positioning her father's nursing home?

(5 Marks)

3. (a) What is a strategic business unit? What are its advantages? **(5 Marks)**

   (b) Explain the prominent areas where the human resource manager can play a strategic role.

(5 Marks)

4. (a) Are there any limitations attached to strategic management in organizations? Discuss. **(5 Marks)**

   (b) Write a short note on the concept of competitive advantage. **(5 Marks)**

5. (a) "Strategic decisions are different in nature than all other decisions." In the light of this statement, explain any three major dimensions of strategic decisions. **(5 Marks)**

   (b) Explain in brief the reasons to adopt turnaround strategy. **(5 Marks)**

6. (a) Distinguish between cost leadership and differentiation strategies. **(5 Marks)**

   (b) "Firms can use benchmarking process to achieve improvement in diverse range of management functions." Elucidate. **(5 Marks)**

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